

UGC NET Economics — PYQs

Unit 5 — Money and Banking

145 questions · 14 papers (Dec 2018 – Dec 2025) · English only · with options · no answers

Paper	Qs
UGC NET December 2018	11
UGC NET June 2019 (21 June 2019, Shift 1)	10
UGC NET December 2019 (3 Dec 2019, Shift 1)	13
UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)	8
UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)	13
UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)	8
UGC NET December 2022 (Shift 1)	12
UGC NET December 2022 (Shift 2)	13
UGC NET June 2023 (20 June 2023)	10
UGC NET December 2023 (12 Dec 2023, Shift 1)	8
UGC NET August 2024 (28 Aug 2024, Shift 1)	14
UGC NET December 2024	4
UGC NET June 2025 (29 June 2025, Shift 2)	11
UGC NET December 2025 (Exam held 31 Dec 2025 – 7 Jan 2026)	10

Source: UGC NET Economics (Paper II) question papers / response sheets in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ (Dec 2018 – Dec 2025; duplicate files skipped). Questions are grouped by the UPHESC Assistant Professor Economics syllabus units; original paper and question number shown next to each question. English only · with options · no answers. Micro (Unit 1) questions are in the separate Micro PDF. Dec 2019 paper file ends at Q145 (Q146–150 not in the source).

Unit 5 — Money and Banking

UGC NET December 2018

Q1. According to the cash-balance approach, the elasticity of demand for money [December 2018 · Q.73]

- (1) Is less than one
- (2) Is more than one
- (3) Is equal to one
- (4) Fluctuates with the changes in the phases of inflation

Q2. Which of the following act as an instrument to help in the borrowing by the government?

[December 2018 · Q.74]

- (i) Repo Rate
- (ii) Reverse Repo Rate
- (iii) CRR
- (iv) SLR

Choose the correct answer from the code given below:

- (1) (i) and (iii)
- (2) Only (iv)
- (3) (i) and (iv)
- (4) (iii) and (iv)

Q3. A rise in general price level may be caused by which amongst the following? [December 2018 · Q.75]

- (i) An increase in the money supply
- (ii) An increase in the aggregate level of output
- (iii) An increase in the effective demand

Choose the correct answer from the code given below:

- (1) Only (iii)
- (2) (i) and (ii)
- (3) (i), (ii) and (iii)
- (4) (i) and (iii)

Q4. The concept of Universal Banking in India was recommended by which of the following committee? [December 2018 · Q.76]

- (1) Abid Hussain Committee
- (2) R.H. Khan Committee
- (3) S. Padmanabhan Committee
- (4) Y.H. Malegam Committee

Q5. What is the required Capital Adequacy Ratio for a new bank to apply for a license, under the draft guidelines of RBI? [December 2018 · Q.77]

- (1) 9 percent
- (2) 10 percent
- (3) 11 percent
- (4) 12 percent

Q6. Which of the following is not an objective of Marginal Cost of funds based Lending Rate (MCLR)? [December 2018 · Q.78]

- (1) To improve the transmission of policy rates into the lending rates of banks
- (2) To ensure availability of bank credit at interest rates which are fair to borrowers as well as banks
- (3) To enable banks to become more competitive
- (4) To enable the RBI to achieve the inflation target

Q7. Match List I with List II and choose the correct answer from the code given below: [December 2018 · Q.79]

List - I	List - II
(a) $n = Pk$	(i) A.C. Pigou
(b) $M = PkT$	(ii) Keynes
(c) $P = kR/M$	(iii) Alfred Marshall
(d) $M = kPY$	(iv) D.H. Robertson

- (1) (a)-(ii), (b)-(iv), (c)-(i), (d)-(iii)
- (2) (a)-(i), (b)-(ii), (c)-(iii), (d)-(iv)
- (3) (a)-(iv), (b)-(i), (c)-(ii), (d)-(iii)
- (4) (a)-(iii), (b)-(ii), (c)-(i), (d)-(iv)

Q8. The statement, "Too much money chasing too few goods" is based on which of the following theoretical concepts? [December 2018 · Q.80]

- (1) Quantity theory of prices
- (2) Quantity theory of money
- (3) Inventory theoretic approach to the demand for money
- (4) Real balance effect

Q9. Who among the following said that "Money is a temporary abode of purchasing power"?

[December 2018 · Q.81]

- (1) Irving Fisher
- (2) Milton Friedman
- (3) William J. Baumol
- (4) James Tobin

Q10. Arrange the following events in chronological order regarding Indian Economy: [December 2018 · Q.116]

- (i) First Phase of Nationalisation of Banks
- (ii) Establishment of Narasimhan Committee on the Banking System
- (iii) Enactment of FEMA Act in India
- (iv) Establishment of EXIM Bank in India

Choose the correct answer from the code given below:

- (1) (i), (iv), (ii), (iii)
- (2) (i), (iii), (iv), (ii)
- (3) (i), (iii), (ii), (iv)
- (4) (i), (ii), (iii), (iv)

Q11. Which amongst the following is not an instrument of Money Market? [December 2018 · Q.129]

- (1) Treasury Bill
- (2) Preference Share
- (3) Commercial Paper
- (4) Certificate of Deposit

UGC NET June 2019 (21 June 2019, Shift 1)

Q12. Under which system the central bank is authorised by law to issue a fixed amount of notes against government securities and any excess is to be fully backed by gold/silver? [June 2019 S1 · Q.95]

- (1) Maximum fiduciary system
- (2) Minimum reserve system
- (3) Fixed fiduciary system
- (4) Maximum and minimum fiduciary system

Q13. Liquidity approach is also known by the name [June 2019 S1 · Q.96]

- (1) Gurley-Shaw approach
- (2) Radcliffe approach
- (3) Traditional approach
- (4) Monetarist approach

Q14. External drains leave which type of impact on commercial bank? [June 2019 S1 · Q.97]

- (1) Lowers the reserves of bank
- (2) Increases further deposits
- (3) Increases credit creation
- (4) Creates demand deposits

Q15. Which consideration a commercial bank does NOT keep in mind to manage its assets and liabilities? [June 2019 S1 · Q.98]

- (1) Liquidity
- (2) Profitability
- (3) Solvency
- (4) Equity

Q16. Which is NOT the main objective of credit control? [June 2019 S1 · Q.99]

- (1) Stabilization of general price level
- (2) Promoting economic growth
- (3) Ensuring adequate flow of credit to productive sectors
- (4) Promoting economic welfare

Q17. Direct credit programmes introduced [June 2019 S1 · Q.100]

- (1) security-oriented credit
- (2) development-oriented credit
- (3) purpose-oriented credit
- (4) welfare-oriented credit

Q18. Match List-I with List-II [June 2019 S1 · Q.101]

List - I	List - II
List-I (Institutions)	List-II (Established)
(a) ICICI	(i) 1971
(b) IRBI	(ii) 1964
(c) IFCI	(iii) 1955
(d) IDBI	(iv) 1948

Chose the correct option from those given below :

- (1) (a)-(i); (b)-(ii); (c)-(iii); (d)-(iv)
- (2) (a)-(ii); (b)-(iii); (c)-(iv); (d)-(i)
- (3) (a)-(iii); (b)-(i); (c)-(iv); (d)-(ii)
- (4) (a)-(iii); (b)-(ii); (c)-(i); (d)-(v)

Q19. Which of the following is NOT the function of a capital market? [June 2019 S1 · Q.102]

- (1) Mobilising savings into investment
- (2) Channelising funds from less profitable to more profitable
- (3) Mobilising funds from surplus units to deficit units
- (4) Providing better returns to direct investors

Q20. The liquidity aggregates are classified as [June 2019 S1 · Q.103]

- (1) L1, L2 and L3
- (2) M1, M2 and M3
- (3) NM3
- (4) M1, M2, M3 and M4

Q21. Which of the following is NOT an instrument of capital market with special reference to India?

[June 2019 S1 · Q.132]

- (1) Equity share
- (2) Debenture
- (3) Gold ETF
- (4) Commercial paper

UGC NET December 2019 (3 Dec 2019, Shift 1)

Q22. The inventory approach to the transaction demand suggests that the transaction component of the demand for money is: [December 2019 S1 · Q.57]

- (1) negatively related to real wealth
- (2) negatively related to real income
- (3) negatively related to nominal income
- (4) negatively related to interest rate

Q23. Friedman's modern Quantity Theory of Money concludes that changes in aggregate spending are primarily determined by changes in [December 2019 S1 · Q.58]

- (1) the money supply
- (2) interest rate
- (3) the velocity of money
- (4) government spending and taxes

Q24. Which one of the following is correct for the money supply measure — M1? [December 2019 S1 · Q.75]

- (1) Currency with the public + demand deposits of Commercial Banks + other deposits at a point of time
- (2) Currency with the public + demand deposits of Banks + other deposits over one year
- (3) Currency with the public + All bank deposits at a point of time
- (4) Currency with the public + Post office deposits + other deposits at a point of time

Q25. Which amongst the following is not the source of the income of RBI? [December 2019 S1 · Q.76]

- (1) Interest on government bonds held for conducting open market operations
- (2) Income from investment in foreign currency assets
- (3) Retained earnings net of dividend paid to Government of India
- (4) Dividend on the shares of private equity held with the bank

Q26. Insolvency and bankruptcy code is primarily entrusted with which of the following? [December 2019 S1 · Q.77]

- (1) Facilitating the recovery of government dues and debt
- (2) Facilitating recovery of debt given by foreign banks to Indian companies
- (3) Facilitating banks recover higher amount of bad loans than they recovered earlier
- (4) Facilitating banks recover their dues from the priority sector

Q27. When the market rate of interest falls, which one of the following will happen? [December 2019 S1 · Q.78]

- (1) Bond price and bond yield, both will rise
- (2) Bond price and bond yield both will fall
- (3) Bond price will rise and bond yield will fall
- (4) Bond price will fall and bond yield will rise

Q28. Which amongst the following is the function of SEBI? [December 2019 S1 · Q.87]

- (1) Regulation of money market
- (2) Regulation of public debt
- (3) Regulation of commodity market
- (4) Regulation of primary and secondary security market

Q29. The elements given below are some of the parts of the M4 Money supply in Indian Economy: [December 2019 S1 · Q.103]

- (a) Broad Money (M3)
- (b) All deposits with post office saving banks
- (c) National saving certificates

Select the most appropriate option which constitutes M4:

- (1) only (a) and (b)
- (2) only (b) and (c)
- (3) only (a) and (c)
- (4) (a), (b) and (c)

Q30. Which among the following are the main pillars of the BASEL III norms? [December 2019 S1 · Q.104]

- (a) Minimal Capital Requirements
- (b) Supervisory Review Process
- (c) Market Discipline
- (d) Maximizing Return on Capital

Choose from the options given below:

- (1) (a), (b) and (c) only
- (2) (a) and (d) only
- (3) (b) and (c) only
- (4) (b), (c) and (d) only

Q31. Match List-I with List-II and choose the correct option from the options given below: [December 2019 S1 · Q.117]

List - I	List - II
(a) Treasury Bills	(i) RBI
(b) Commercial papers	(ii) IMF
(c) Repo rate	(iii) Government
(d) SDRs	(iv) Private Companies

Options:

- (1) (a)-(iv), (b)-(iii), (c)-(ii), (d)-(i)
- (2) (a)-(iii), (b)-(iv), (c)-(ii), (d)-(i)
- (3) (a)-(iii), (b)-(iv), (c)-(i), (d)-(ii)
- (4) (a)-(iv), (b)-(iii), (c)-(i), (d)-(ii)

Q32. Which one of the following is the correct sequence in the ascending order of the magnitude?

[December 2019 S1 · Q.127]

- (1) Repo Rate, Reverse Repo Rate, Statutory Liquidity Rate (SLR) and Marginal Standing Facility Rate (MSFR)
- (2) SLR, MSFR, Repo Rate, Reverse Repo Rate
- (3) Repo Rate, SLR, MSFR, Reverse Repo Rate
- (4) Reverse Repo Rate, Repo Rate, MSFR, SLR

Q33. Arrange the following events in chronological order: [December 2019 S1 · Q.130]

- (a) First phase of Nationalisation of Commercial Banks
- (b) Establishment of Narashiman Committee on banking system
- (c) Enactment of FEMA Act
- (d) Establishment of EXIM Bank of India

Choose the correct from the following options:

- (1) (a), (c), (d), (b)
- (2) (a), (d), (b), (c)
- (3) (a), (c), (b), (d)
- (4) (a), (d), (c), (b)

Q34. Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.137]

Assertion (A): In order to control inflationary tendencies, RBI raises the repo rate

Reason (R): By so doing, RBI wishes to control consumption demand

In the light of the above two statements choose the correct option:

- (1) Both (A) and (R) are true and (R) is correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

Q35. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [June 2020 S2 · Q.63]

Assertion A: High powered money is the source of all other forms of money that impact money supply

Reason R: Credit is created by commercial banks

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

Q36. The cost of holding money by individuals [June 2020 S2 · Q.65]

- (A) Loss of real value of money due to deflation
- (B) Foregone interest from savings
- (C) Utility foregone by not buying goods and services
- (D) Returns foregone by not holding other assets

Choose the most appropriate answer from the options given below:

- (1) B, C and D only
- (2) A, B and C only
- (3) A, B and D only
- (4) A, C and D only

Q37. Inadequacy or absence of KYC (Know Your Customer) standards can subject a bank to serious and counter party risk as follows [June 2020 S2 · Q.106]

- (A) Reputation risk
- (B) Compliance risk
- (C) Legal risk
- (D) Bankruptcy risk

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) A, B and C only
- (3) B, C and D only
- (4) A, C and D only

Q38. What is the maximum penalty to be imposed under the Negotiable Instruments Act for bouncing of a cheque? [June 2020 S2 · Q.107]

- (1) 6 months
- (2) 1 year
- (3) 2 years
- (4) 5 years

Q39. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [June 2020 S2 · Q.108]

Assertion A: The main cause of commercial bank failures because of providing inappropriate loans to bank insiders

Reason R: Bank employees are provided loans at lower interest rates

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

Q40. Seigniorage in banking means [June 2020 S2 · Q.109]

- (A) The economic cost of providing a currency within a given economy
- (B) The difference between the face value of money and the cost of providing it
- (C) The cost involved in running ATMs
- (D) The costs of making debit/credit cards in an economy

Choose the correct answer from the options given below:

- (1) A and C only
- (2) B and C only
- (3) B and D only
- (4) A and B only

Q41. Markowitz theory of portfolio management considers which of the following assumptions?

[June 2020 S2 · Q.110]

- (A) Investors are pessimistic about start-ups but optimistic about an established business
- (B) Investors have free access to fair and correct information on return and risk
- (C) Investors have a tendency to lean towards cryptocurrencies
- (D) Investors are rational and maximize their utility with a given level of income and money

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and D only
- (3) C and D only
- (4) A and C only

Q42. Account payee crossing is defined in which section of the Negotiable Instruments (NI) Act?

[June 2020 S2 · Q.128]

- (1) Section 123
- (2) Section 124
- (3) Section 125
- (4) Not defined in NI Act

UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

Q43. The concept of 'money illusion' was first given by whom? [December 2020 · Q.7]

- (1) Milton Friedman
- (2) Irving Fisher
- (3) Robertson
- (4) J. M. Keynes

Q44. Which of the following is NOT a Commercial Bank? [December 2020 · Q.27]

- (1) Public Sector Bank
- (2) Private Sector Bank
- (3) Regional Rural Bank
- (4) Co-operative Bank

Q45. Liquidity Adjustment Facility (LAF) was recommended by [December 2020 · Q.28]

- (1) C. Rangarajan Committee
- (2) Raghuram Rajan Committee
- (3) Narasimham Committee - II
- (4) Bimal Jalan Committee

Q46. Which of the following is TRUE for Bank Rate? [December 2020 · Q.29]

- (1) Increase in Bank rate by Central Bank would increase money supply keeping other factors constant
- (2) Bank rate is a qualitative instrument
- (3) Bank rate is the minimum rate at which the Central Bank provides credit to financial institutions against securities of the government
- (4) Bank rate is a direct instrument of credit control

Q47. Which of the following would reduce the credit creation capacity of a Commercial Bank?

[December 2020 · Q.49]

- (A) Time and Demand deposits
- (B) Loans
- (C) Deposits with the Central Bank
- (D) Cash in hand

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and C only
- (3) C and D only
- (4) A and D only

Q48. Which of the following measures would result in an increase in the money supply in the economy? [December 2020 · Q.50]

- (A) Purchase of government securities from the public by Central Bank
- (B) Deposit of currency in Commercial Banks by the public
- (C) Borrowing by the government from the Central Bank
- (D) Sale of government securities to the public by the Central Bank
- (E) Minting of more money by the Central Bank for circulation

Choose the correct answer from the options given below:

- (1) A, C and E only
- (2) B, C and D only
- (3) A, B and C only
- (4) B, D and E only

Q49. Match List I with List II [December 2020 · Q.72]

List - I	List - II
(A) Security Exchange Board of India (SEBI)	(I) 1991
(B) National Securities Depository Ltd (NSDL)	(II) 1992
(C) Credit Rating Information Service of India Ltd (CRISIL)	(III) 1988
(D) Investment Information and Credit Rating Agency of India (ICRA)	(IV) 1996

Choose the correct answer from the options given below:

- (1) A - I, B - II, C - III, D - IV
- (2) A - IV, B - III, C - II, D - I
- (3) A - III, B - II, C - IV, D - I
- (4) A - II, B - IV, C - III, D - I

Q50. Arrange the following committees appointed for the Banking sector in India in chronological order: [December 2020 · Q.81]

- (A) Urjit Patel Committee
- (B) Goiporia Committee
- (C) Narasimham Committee-1
- (D) Chakravarty Committee

Choose the correct answer from the options given below

- (1) D, C, B, A
- (2) A, C, D, B
- (3) C, B, D, A
- (4) D, B, C, A

Passage / data for Q.91-95 (December 2020)

The study titled, "Monetary Policy Transparency and Anchoring of Inflation Expectation in India" constructs an index of monetary policy transparency for India and examines the role of transparency in anchoring inflation expectations. Empirical results show that the degree of policy transparency has indeed increased substantially since the adoption of Flexible Inflation Targeting (FIT) in 2016. Further, empirical evidence suggests that inflation expectations of professional forecasters and households were anchored, in weak-form, in the post-FIT period, though households' expectations did not necessarily lie within the inflation tolerance band. During the transition period (between the self-imposed disinflationary glide-path since 2014 and adoption of the FIT) both realized inflation and expectations followed a declining path, which resulted in a positive association between them. During the pre-transition period, when explicit inflation target was absent, expectations were also reasonably anchored, albeit, at a higher level.

Q51. Which time span has been described as the transition period of monetary policy? [December 2020 · Q.91]

- (1) 2014-2016
- (2) 2016-2020
- (3) 2000-2014
- (4) 2008-2014

Q52. What happened to the anchoring of inflation expectations? [December 2020 · Q.92]

- (1) Inflation expectations anchored in a strong form
- (2) Inflation expectations anchored in a weak-form in the post FIT period.
- (3) There was no association between realised and expected inflation
- (4) There was a negative association between realised and expected inflation

Q53. Which of the following index has been constructed? [December 2020 · Q.93]

- (1) Index of monetary policy
- (2) Index of inflation expectations
- (3) Index monetary policy transparency for India
- (4) Index of transparency

Q54. What has empirical evidence shown? [December 2020 · Q.94]

- (1) Degree of policy transparency declined
- (2) Degree of policy transparency increased
- (3) Degree of policy transparency increased but after coming into force of FIT.
- (4) Actual inflation turned out to be high

Q55. Inflation expectations of which group was empirically tested? [December 2020 · Q.95]

- (1) Only of professional forecasters
- (2) Only of Households
- (3) Both of professional forecasters and Households
- (4) Neither of professional forecasters nor Households

UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)

Q56. The Central bank policy of altering the domestic credit extended by it in an equal and opposite direction to the variation in foreign exchange reserves so that the monetary base remains unchanged is called [December 2021 · Q.9]

- (1) Stabilization
- (2) Monetary expansion
- (3) Fiscal expansion
- (4) Sterilisation

Q57. In the context of the transaction demand for money, the square root rule was developed by

[December 2021 · Q.27]

- (1) Kydland - Prescott
- (2) Friedman - Schwartz
- (3) Baumol - Tobin
- (4) J. M. Keynes

Q58. If time deposit is not included, then the money multiplier will be (C_r = currency deposit ratio, r_r = reserve deposit ratio) [December 2021 · Q.28]

- (1) $(C_r + r_r)/(1 + C_r)$
- (2) $(C_r + r_r)/(r_r + 1)$
- (3) C_r/r_r
- (4) $(C_r + 1)/(r_r + C_r)$

Q59. One of the various qualitative instruments used by the central bank during inflation is

[December 2021 · Q.29]

- (1) Raise margin requirement
- (2) Remove margin requirement
- (3) Reduce margin requirement
- (4) Fix margin requirement

Q60. Monetary policy instruments are [December 2021 · Q.43]

- (A) Changes in public expenditure
- (B) Changes in taxation
- (C) Open market operations
- (D) Bank reserve requirement
- (E) Interest rate policy

Choose the most appropriate answer from the options given below:

- (1) (A), (B) only
- (2) (A), (B), (C) only
- (3) (C), (D), (E) only
- (4) (B), (D), (E) only

Q61. Which of the followings are correct? [December 2021 · Q.49]

- (A) $M1 = C + DD + OD$
- (B) $M2 = M1 + \text{saving deposits with post office saving banks}$
- (C) $M3 = M2 + \text{net time deposits of banks}$
- (D) $M3 = M1 + \text{net time deposits of banks}$
- (E) $M4 = M1 + \text{total deposits with the post office savings}$

Choose the correct answer from the options given below:

- (1) (A), (B) and (C) only
- (2) (A), (B) and (D) only
- (3) (A), (C) and (D) only
- (4) (B), (D) and (E) only

Q62. Pradhan Mantri Jan Dhan Yojana (PMJDY) has been a flagship programme of the Government of India [December 2021 · Q.65]

- (A) Beneficiaries of this scheme are eligible for accident insurance cover of Rs. 1 lakh now
- (B) PMJDY is helpful in inclusive development
- (C) PMJDY beneficiaries should not be given other benefits like benefits under MUDRA scheme
- (D) It is leading to women empowerment
- (E) More than 45 crore people have benefitted so far under PMJDY

Choose the most appropriate answer from the options given below :

- (1) (A), (B) and (C) only
- (2) (B), (C) and (D) only
- (3) (B), (D) and (E) only
- (4) (A), (D) and (E) only

Q63. Match List I with List II : [December 2021 · Q.73]

List - I	List - II
(A) Reverse repo rate	(I) RBI provides loan to commercial banks for short term
(B) Bank rate	(II) RBI provides loan to commercial banks for long term
(C) Repo rate	(III) RBI borrows money from commercial banks
(D) Cash reserve ratio	(IV) Commercial banks have to deposit minimum ratio of their net total liabilities in RBI

Choose the correct answer from the options given below :

- (1) (A)-(I), (B)-(III), (C)-(II), (D)-(IV)
- (2) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)
- (3) (A)-(III), (B)-(I), (C)-(II), (D)-(IV)
- (4) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)

UGC NET December 2022 (Shift 1)

Q64. The Value-Trade ratio captures trading relative to the size of the [December 2022 S1 · Q.30]

- (1) economy
- (2) market
- (3) market and economy
- (4) none of these

Q65. Which of the following are expansionary monetary policy measures to cure deflation?

[December 2022 S1 · Q.57]

- (A) The Central bank buys government securities from commercial banks and public.
- (B) The Central bank may hike the bank rate.
- (C) The Central bank may increase the cash reserve ratio.
- (D) The Central bank may reduce the cash reserve ratio.
- (E) The Central bank may lower the bank rate.

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) A, C and E only
- (3) B and C only
- (4) A, D and E only

Q66. The main features of Treasury bills are that: [December 2022 S1 · Q.58]

- (A) they are issued at a discount and are repaid at par on maturity.
- (B) they have low liquidity on account of their short tenure.
- (C) there is no default risk.
- (D) they offer an assured yield.
- (E) they have a high transaction cost.

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and D only
- (3) A, D and E only
- (4) A, C and E only

Q67. Match List I with List II [December 2022 S1 · Q.72]

List - I	List - II
(A) The establishment of a clearing house for settlement of transactions in BSE.	(I) 1994
(B) Serial bomb blasts in BSE.	(II) 1997
(C) Screen-based trading commenced in BSE.	(III) 1921
(D) BSE launched the first stock index with 30 scrips.	(IV) 1986

Choose the correct answer from the options given below:

- (1) A - I, B - III, C - II, D - IV
- (2) A - III, B - II, C - IV, D - I
- (3) A - III, B - I, C - II, D - IV
- (4) A - II, B - I, C - III, D - IV

Q68. Arrange the rates in descending order based on 'Reserve Bank of India' data, December 2022. [December 2022 S1 · Q.82]

- (A) Cash Reserve Ratio
- (B) Repo rate
- (C) Bank rate
- (D) Reverse Repo rate
- (E) Standing Deposit Facility rate

Choose the correct answer from the options given below:

- (1) A, B, C, D, E
- (2) E, C, D, B, A
- (3) C, B, E, A, D
- (4) A, B, D, E, C

Q69. Arrange the followings chronologically in order of their introduction. [December 2022 S1 · Q.83]

- (A) Ad hoc Treasury bills (T-bills)
- (B) 28 Days T-bills
- (C) 14 Days T-bills
- (D) 364 Days T-bills
- (E) 182 Days T-bills

Choose the correct answer from the options given below:

- (1) A, D, E, B, C
- (2) A, E, D, C, B
- (3) D, E, A, B, C
- (4) E, A, C, D, B

Q70. Arrange the following in chronological order starting from the oldest relating to the theory of money. [December 2022 S1 · Q.84]

- (A) Patinkin
- (B) Fisher
- (C) Friedman
- (D) Marshall
- (E) Keynes

Choose the correct answer from the options given below:

- (1) E, B, C, A, D
- (2) B, D, E, A, C
- (3) A, B, C, D, E
- (4) D, B, A, C, E

Passage / data for Q.96-100 (December 2022 S1)

Read the passage and answer the question that follows

Globally, the understanding about the systematic impacts of climate change on the economic and financial systems is still evolving. Broadly, the climate-related risks impact the financials sector through two channels - (a) physical risks and (b) transition risks. Physical risks refer to the economic and financial losses such as risk to the value of a collateral etc., resulting from the increasing frequency and severity of extreme weather events, gradual long-term shifts of the climate and indirect effects of climate change (such as impact on ecosystem services etc.). Transition risks are the ones that arise from the process of adjustments towards a low-carbon economy. Its drivers include policies for climate mitigation, technological advances and shifts in public sentiments including that of customers and investors. To cope with such risks, the central bank needs to develop a multi-pronged strategy that puts adequate emphasis on climate-related financial disclosures, stress testing, climate scenario analysis and at the same time devising suitable regulatory initiatives. The Indian Central Bank has set up the Sustainable Finance Group in this regard. This aligns with its mission, "to promote the economic and financial well being of the people of India in terms of price and financial stability: fair and universal access to financial services and a robust, dynamic and responsive financial intermediation infrastructure."

Q71. Which of the following is not relevant as a climate-related risk for the financial sector?

[December 2022 S1 · Q.96]

- (1) Occurrence of local or regional weather events.
- (2) Risk to the value of collateral taken as security against loans.
- (3) Insolvency of banks.
- (4) Shifting sentiments and behaviour of customers and investors.

Q72. Which of the following cannot be instrumental towards integrating climate risks into the financial system? [December 2022 S1 · Q.97]

- (1) Climate-related financial disclosures
- (2) Stress testing
- (3) Scenario analysis
- (4) Backward-looking risk assessment methods

Q73. Which of the following does not pertain to the category of transition risk drivers with respect to the climate-related risks? [December 2022 S1 · Q.98]

- (1) Climate-related mitigation policies
- (2) Loss of ecosystem services
- (3) Technological innovations
- (4) Shift in public sentiment

Q74. Which of the following is not consistent with the mission of the RBI? [December 2022 S1 · Q.99]

- (1) Ensuring access to financial services.
- (2) Maintaining price and stability.
- (3) Setting national development priorities.
- (4) Stability of the financial system.

Q75. Which of the following is the purpose of setting up the Sustainable Finance Group by the RBI?

[December 2022 S1 · Q.100]

- (1) To act as a knowledge center for macroeconomics policy oriented research.
- (2) To lead regulatory initiatives on climate-risk.
- (3) Facilitating core central banking function.
- (4) To perform supervisory functions.

UGC NET December 2022 (Shift 2)

Q76. Which one of the following is not a component of M1? [December 2022 S2 · Q.7]

- (1) Currency
- (2) Traveler's cheque
- (3) Commercial paper
- (4) Demand deposits

Q77. Which of the following is not an assumption or conclusion of the inflation targeting approach?

[December 2022 S2 · Q.28]

- (1) Interest rate is the major instrument of monetary policy
- (2) Higher interest rate controls aggregate demand
- (3) Inflation is a supply side phenomenon
- (4) Quantity of money supply is not very effective in controlling inflation

Q78. Which of the following formula is used to calculate the yield of treasury bills (T-bills) where

[December 2022 S2 · Q.30]

Y = Discounted yield

P = Price

D = Days to maturity

- (1) $Y = (P \times 365 \times 100)/(P \times D)$
- (2) $Y = (D \times 365 \times 100)/(P \times D)$
- (3) $Y = ((100 - P) \times 365 \times 100)/(P \times D)$
- (4) $Y = ((100 - D) \times 365 \times 100)/(P \times D)$

Q79. Which of the following monetary measure is used to control inflation? [December 2022 S2 · Q.57]

- (A) The Central Bank purchases government securities from Commercial Banks
- (B) The Central Bank sells the government securities to the Commercial Banks
- (C) The bank rate may be raised
- (D) The bank rate may be reduced
- (E) Raising of cash reserve ratio.

Choose the correct answer from the options given below:

- (1) A, C and E only
- (2) B, C and E only
- (3) A, D and E only
- (4) A and D only

Q80. Which of the followings are correct in case of money market in India? [December 2022 S2 · Q.58]

- (A) Commercial bill is a short-term instrument with high risk
- (B) Treasury bill is an instrument of short-term borrowing by the government with absence of default risk
- (C) RBI uses refinance to relieve liquidity shortages in the system
- (D) The RBI has switched over from daily fixed rate repos auction system to discriminatory price auction repos.
- (E) SLR enables to impose secondary and supplementary reserve requirements on the banking system.

Choose the correct answer from the options given below :

- (1) A, B and D only
- (2) B, C and D only
- (3) B, C and E only
- (4) C, D and E only

Q81. Match List I with List II [December 2022 S2 · Q.72]

List - I	List - II
(A) Launch of S&P CNX Nifty	(I) July 1995
(B) Establishment of Investor Protection Fund in NSE	(II) May 1998
(C) Launch of NSE's website: www.nseindia.com	(III) April 1996
(D) NSE recognized as a stock exchange.	(IV) April 1993

Choose the correct answer from the options given below:

- (1) A-III, B-II, C-I, D-IV
- (2) A-III, B-I, C-II, D-IV
- (3) A-II, B-IV, C-III, D-I
- (4) A-III, B-II, C-IV, D-I

Q82. Match List I with List II [December 2022 S2 · Q.75]

List - I	List - II
(A) NABARD	(I) 1964
(B) IFCI	(II) 1955
(C) IDBI	(III) 1948
(D) ICICI	(IV) 1982

(List I: Organization; List II: Year of Establishment)

Choose the correct answer from the options given below:

- (1) A-I, B-IV, C-III, D-II
- (2) A-II, B-I, C-IV, D-III
- (3) A-IV, B-III, C-I, D-II
- (4) A-III, B-II, C-I, D-IV

Q83. Arrange the following policy rate (as on 31-12-2022) of the RBI in the descending order of their magnitude. [December 2022 S2 · Q.83]

- (A) Repo rate
- (B) Bank rate
- (C) CRR
- (D) SLR
- (E) Reserve repo Rate.

Choose the correct answer from the options given below:

- (1) A, B, D, C, E
- (2) D, A, B, C, E
- (3) B, D, A, E, C
- (4) D, B, A, C, E

Passage / data for Q.91-95 (December 2022 S2)

Read the following passage and answer the questions.

The Nobel Prize in Economics in 2022 has been awarded to Ben S. Bernanke, Douglas W. Diamond and Philip H. Dybvig "for research on banks and financial crises". One of the important findings in their research is why avoiding bank collapses is vital. Saving must be channelled to investments for the functioning and growth of any economy. But there arises a conflict - while the savers want instant access to their money for unexpected outlays, the borrowers need to know they will not be forced to repay their loans prematurely. Diamond and Dybvig show how banks offer an optimal solution to this problem. Banks may act as intermediaries, who accept deposits from savers and allow access to their money when they wish and also offer long term loans to borrowers. But the analysis of these authors also shows banks are vulnerable to rumours and they may lead to their imminent collapse, when a large number of savers simultaneously run to a bank to withdraw their money - a bank run occurs and the bank collapses. Such dangerous dynamics can be prevented through the government by providing deposit insurance and acting as a lender of last resort to banks. Diamond demonstrated another societally important function by a bank. Banks as intermediaries between savers and borrowers, are in a better position to assess a borrower's creditworthiness and ensure that loans are used for good investments. "The laureates' insights have improved our ability to avoid both serious crises and expensive bailouts."

Q84. What conflict do the bankers face while channelizing saving into investment? [December 2022 S2 · Q.91]

- (1) While the borrowers want instant closing of the loan, the savers want systematic withdrawals.
- (2) While the savers want instant access to their money, the borrowers want to repay their loans only when it matures.
- (3) While the savers want instant closing of the loan, the borrowers demand more loan than their credit worthiness.
- (4) Both the savers and borrowers want to close the loan immediately.

Q85. What solution does the Diamond and Dybvig's theory offer to the conflict faced by the bankers while channelizing savings into investments? [December 2022 S2 · Q.92]

- (1) Banks assure instant access to money to the savers and terminate long term project of borrowers
- (2) Banks assure long-term finance to borrowers and terminate the savers' accounts
- (3) Banks act as intermediaries that accept deposits from savers and allow them access to their money when they wish, while also offering long term loans to borrowers
- (4) All the above options were offered by Diamond and Dybvig's theory

Q86. According to the laureates, what leads to imminent collapse of banks? [December 2022 S2 · Q.93]

- (1) Fraudulent behaviour of the borrowers
- (2) Increasing competition in the banking sector
- (3) When a large number of savers simultaneously withdraw their money
- (4) When a large number of borrowers simultaneously borrow money from the bank

Q87. What do the laureates suggest to prevent rumours-led bank collapses? [December 2022 S2 · Q.94]

- (1) Reduce lending
- (2) Increase lending
- (3) Collaboration with other banks
- (4) Government should provide deposit insurance and act as lender of last resort.

Q88. According to Diamond, how do banks ensure that loans are used for good investments?

[December 2022 S2 · Q.95]

- (1) Since banks act as intermediaries between savers and borrowers, they have better idea about the creditworthiness of the borrowers and hence can ensure loans are used for good investments.
- (2) Since banks want to maximize profits, it can ensure loans are used for good investments
- (3) Since bank want to benefit their customers, they can ensure that loans are used for good investment.
- (4) Banks do not have enough information to ensure loans are used for good investment

UGC NET June 2023 (20 June 2023)

Q89. Monetary base of an economy is, [June 2023 · Q.56]

- (1) Amount of currency held by public and by the banks as reserves.
- (2) Amount of currency held by public and demand deposits.
- (3) Amount of currency held by public and time deposits.
- (4) Currency deposit ratio.

Q90. In the extreme case of liquidity trap [June 2023 · Q.76]

- (1) There will be tendency to buy bonds
- (2) Most of the investors will show bearish behaviour
- (3) Cash will be less preferred
- (4) Price of the bond will be low

Q91. With the same monetary base, which of the following will lead to an increase in broad money? [June 2023 · Q.78]

- (1) High transaction cost of converting deposit into cash
- (2) Higher investment under SLR
- (3) Higher use of cash
- (4) Increase in financial literacy and banking habit

Q92. Prevention of Money Laundering Act was enacted in the year [June 2023 · Q.90]

- (1) 2001
- (2) 2002
- (3) 2003
- (4) 2004

Q93. Pillar 1 of Basel III norms focus on [June 2023 · Q.99]

- (A) Quality and level of capital
- (B) Risk Coverage
- (C) Containing leverage
- (D) Risk management and supervision
- (E) Market discipline

Choose the correct answer from the option given below :

- (1) A and B only
- (2) B and C only
- (3) C and D only
- (4) D and E only

Q94. Which of the following are recommendations of the Narasimham Committee, 1991. [June 2023 · Q.111]

- (A) Deregulation of the interest rate structure.
- (B) Need for greater use of information technology.
- (C) Permitting only private sector banks to access the capital market.
- (D) Freedom to appoint chief executive and officers of the banks.
- (E) Capital adequacy norms were implemented in stages.

Choose the correct answer from the option given below :

- (1) A, B and E only
- (2) A, C and D only
- (3) A, D and E only
- (4) C, D and E only

Q95. Match List I with List II [June 2023 · Q.118]

List - I	List - II
(A) J. M. Keynes	(I) Inventory theoretic approach to transaction demand for money
(B) Kydland-Prescott	(II) Liquidity Preference
(C) Baumol-Tobin	(III) Time inconsistency Problem
(D) Friedman-Schwartz	(IV) Monetary History of United States

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-IV, D-I
- (2) A-III, B-II, C-I, D-IV
- (3) A-III, B-I, C-II, D-IV
- (4) A-II, B-III, C-I, D-IV

Q96. Arrange the following in order to their year of establishment starting from oldest [June 2023 · Q.130]

- (A) The Industrial Credit and Investment Corporation of India (ICICI)
- (B) National Bank for Agricultural and Rural Development (NABARD)
- (C) The Industrial Finance Corporation of India (IFCI)
- (D) The Industrial Reconstruction Bank of India (IRBI)
- (E) Export-Import Bank of India

Choose the correct answer from the option given below :

- (1) A, C, E, B, D
- (2) C, A, D, E, B
- (3) E, C, A, B, D
- (4) A, D, C, B, E

Q97. Arrange the following events of equity trading in India starting from the oldest : [June 2023 · Q.132]

- (A) The BSE introduced screen-based trading.
- (B) Foreign Institutional Investors (FIIs) are permitted to invest in the Indian Securities Market.
- (C) NSE commenced operations in wholesale debt market segment.
- (D) The SEBI banned badla trading on the BSE.
- (E) The NSE overtook the BSE as the largest stock exchange in terms of volume trading.

Choose the correct answer from the option given below :

- (1) A, B, D, E, C
- (2) B, D, C, E, A
- (3) D, B, E, C, A
- (4) C, B, D, E, A

Q98. Give below are two statements : [June 2023 · Q.137]

Statement - I : Friedman's theory of the demand for money is partly Keynesian and partly non-Keynesian.

Statement - II : It is non-Keynesian in that Friedman neglects completely Keynes' clarification of the motives for holding money and the corresponding components of demand for money.

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true.
- (2) Both Statement I and Statement II are false.
- (3) Statement I is true but Statement II is false.
- (4) Statement I is false but Statement II is true.

UGC NET December 2023 (12 Dec 2023, Shift 1)

Q99. The expert committee set up by RBI in 2013 to revise and strengthen the monetary policy framework in India was chaired by : [December 2023 S1 · Q.51]

- (1) Raghuram Rajan
- (2) Urjit Patel
- (3) Deepak Mohanty
- (4) Michael Patra

Q100. Under the flexible inflation targeting framework of monetary policy adopted by the RBI in 2016, what is the target range of rate of inflation ? [December 2023 S1 · Q.52]

- (1) $(4 \pm 2)\%$
- (2) $(5 \pm 2)\%$
- (3) $(3 \pm 2)\%$
- (4) $(2 \pm 2)\%$

Q101. Repo rate is the interest rate at which : [December 2023 S1 · Q.89]

- (1) The commercial banks borrow from the RBI
- (2) The commercial banks borrow from the other commercial banks
- (3) The commercial banks deposit money to the RBI
- (4) The common people deposit money to the RBI

Q102. Among the new monetary aggregates suggested by the Third working group of RBI, which one/ones include time deposits of term less than or equal to one year but does not include the time deposits with term more than one year ? [December 2023 S1 · Q.96]

- (A) NM0
- (B) NM1
- (C) NM2
- (D) NM3

Choose the correct answer from the options given below :

- (1) (A) Only
- (2) (C) Only
- (3) (C) and (D) Only
- (4) (B) and (C) Only

Q103. Which one of the following are money market instruments ? [December 2023 S1 · Q.97]

- (A) 91-day Treasury bill
- (B) Commercial paper
- (C) Certificate of deposit issued by banks
- (D) 5-yr government bond

Choose the correct answer from the options given below :

- (1) (A) Only
- (2) (A) and (B) Only
- (3) (A), (B) and (C) Only
- (4) (B) and (C) Only

Q104. Arrange the following steps of exchange rate channel of monetary transmission mechanism, in correct order, starting from first to last. [December 2023 S1 · Q.126]

- (A) reduction in policy rate
- (B) capital outflows
- (C) depreciation of domestic currency
- (D) rise in net exports

Choose the correct answer from the options given below :

- (1) (A), (C), (D), (B)
- (2) (A), (D), (B), (C)
- (3) (A), (B), (C), (D)
- (4) (A), (D), (C), (B)

Q105. Arrange the following names of former governors of RBI in the sequence in which they held the post starting from the earliest to latest. [December 2023 S1 · Q.127]

- (A) Y.V. Reddy
- (B) D Subbarao
- (C) Raghuram Rajan
- (D) Urjit Patel

Choose the correct answer from the options given below :

- (1) (C), (B), (D), (A)
- (2) (C), (A), (D), (B)
- (3) (A), (B), (C), (D)
- (4) (D), (C), (A), (B)

Q106. Arrange the following events in Indian Financial System in correct chronological order, starting from earliest to latest. [December 2023 S1 · Q.128]

- (A) Setting up of PFRDA
- (B) Setting up of UTI
- (C) Nationalisation of 14 commercial banks
- (D) Implementation of IBC

Choose the correct answer from the options given below :

- (1) (A), (B), (C), (D)
- (2) (C), (A), (B), (D)
- (3) (B), (C), (A), (D)
- (4) (A), (C), (B), (D)

UGC NET August 2024 (28 Aug 2024, Shift 1)

Q107. What does not come under the purview of the function of Reserve Bank of India? [August 2024 S1 · Q.53]

- (1) Custodian of Foreign Exchange Reserves
- (2) Issues of Bank Notes
- (3) The lender of the last resort
- (4) Multiple expansion of credit

Q108. The _____ effect implies that nominal interest rates tend to be high when inflation is high and low when inflation is low? [August 2024 S1 · Q.71]

- (1) Tobin effect
- (2) Baumol effect
- (3) Fisher effect
- (4) Patinkin effect

Q109. Which organisation has developed the UPI system in India and in which year? [August 2024 S1 · Q.72]

- (1) SEBI, 2016
- (2) SBI, 2016
- (3) RBI, 2015
- (4) NPCI, 2016

Q110. Which of the following is not an instrument of Monetary Policy? [August 2024 S1 · Q.76]

- (1) Cash reserve ratio
- (2) Open market operation
- (3) Bank rate
- (4) Tax rate

Q111. Arrange the following events from the date of their happening starting from the oldest:

[August 2024 S1 · Q.92]

- (A) IRDA Act passed in Parliament
- (B) Concept of financial inclusion introduced in Banking sector
- (C) Global trust bank merged with UTI Bank
- (D) 364 - day treasury bill introduced with market related rates
- (E) Fiscal responsibility and Budget Management Act Passed

Choose the correct answer from the options given below:

- (1) (D), (A), (C), (E), (B)
- (2) (D), (C), (E), (A), (B)
- (3) (E), (D), (B), (A), (C)
- (4) (A), (C), (D), (E), (B)

Q112. Arrange the following theories in correct chronological order, starting from earliest to latest:

[August 2024 S1 · Q.97]

- (A) Patinkin's Real Balance Effect
- (B) Reformulated quantity theory of money
- (C) Baumol's theory of money
- (D) Cash transaction approach
- (E) Cash balance approach

Choose the correct answer from the options given below:

- (1) (D), (E), (B), (C), (A)
- (2) (E), (D), (A), (B), (C)
- (3) (E), (D), (C), (B), (A)
- (4) (C), (D), (E), (A), (B)

Q113. Arrange the following Acts in correct chronological order, starting from earliest to latest:

[August 2024 S1 · Q.99]

- (A) Chit Fund Act
- (B) Export Import Bank of India Act
- (C) Prevention of Money Laundering Act
- (D) National Housing Bank Act
- (E) Regional Rural Banks Act

Choose the correct answer from the options given below:

- (1) (E), (B), (A), (D), (C)
- (2) (E), (D), (C), (B), (A)
- (3) (D), (C), (B), (E), (A)
- (4) (D), (A), (E), (C), (B)

Q114. Choose the correct chronological sequence in ascending order (earliest to latest): [August 2024

S1 · Q.102]

- (A) FRBM act
- (B) Nationalisation of banks in India
- (C) Second five year plan
- (D) Small Industries Development Bank of India (SIDBI)
- (E) Export Import Bank of India (EXIM Bank)

Choose the correct answer from the options given below:

- (1) (C), (B), (E), (D), (A)
- (2) (C), (B), (A), (D), (E)
- (3) (C), (A), (B), (D), (E)
- (4) (C), (E), (A), (B), (D)

Q115. Consider the following statements regarding the non Banking Financial Companies in India (NBFCs): [August 2024 S1 · Q.108]

- (A) NBFCs are registered under the RBI Act 1948
- (B) NBFCs cannot accept demand deposits like commercial banks
- (C) NBFCs have to invest a specific percent of their assets in unencumbered approved securities
- (D) NBFCs which engaged in merchant banking and portfolio management services are governed by SEBI
- (E) Every NBFC has to create a reserve fund.

Choose the correct answer from the options given below:

- (1) (A), (B), (C), (D) only
- (2) (B), (C), (D), (E) only
- (3) (B), (D), (E) only
- (4) (B), (C), (E) only

Q116. Among the following which is/are the instruments of capital market? [August 2024 S1 · Q.121]

- (A) Venture Capital
- (B) Treasury Bills
- (C) Certificate of Deposit issued by commercial banks
- (D) Global Depository Receipts
- (E) Inter Corporate Deposits

Choose the correct answer from the options given below:

- (1) (B), (D), (E) only
- (2) (A), (D) only
- (3) (A), (B), (D) only
- (4) (A), (D), (E) only

Q117. Which among following committees, was set up for Banking sector reforms in India? [August 2024 S1 · Q.122]

- (A) Jalan Committee
- (B) Ghosh Committee
- (C) Saraf Committee
- (D) Gokaran Committee
- (E) Tarapore Committee

Choose the correct answer from the options given below:

- (1) (A), (B), (D) only
- (2) (B), (C), (E) only
- (3) (C), (D), (E) only
- (4) (A), (D), (C) only

Q118. Consider the following statements regarding Regional Rural Banks (RRBs) in India: [August 2024 S1 · Q.123]

- (A) RRBs were setup on the basis of the recommendation of Narasimham working group, 1975
- (B) The largest proportion of the equity of RRBs is held by its sponsor bank
- (C) NABARD coordinates all the activities of RRBs
- (D) RRBs are lead Bank
- (E) RRBs are provided refinance facilities through NABARD

Choose the correct answer from the options given below:

- (1) (A), (C), (E) only
- (2) (A), (B), (C), (D) only
- (3) (B), (C), (E) only
- (4) (A), (E) only

Q119. Match List - I with List - II. [August 2024 S1 · Q.137]

List - I	List - II
(A) Narasimham Committee Report (II)	(I) Frauds and Malpractices in Bank
(B) Ghosh Committee Report	(II) Technology issues in Banking
(C) Padmanabhan Committee	(III) RBI should withdraw 91 days T. Bill from market
(D) Saraf Committee	(IV) Style of inspection and follow up by the central bank

Choose the correct answer from the options given below:

- (1) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)
- (2) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
- (3) (A)-(III), (B)-(I), (C)-(IV), (D)-(II)
- (4) (A)-(III), (B)-(II), (C)-(I), (D)-(IV)

Q120. Match List - I with List - II. [August 2024 S1 · Q.140]

List - I	List - II
(A) Bank run	(I) D. Pearce
(B) q-ratio	(II) M. Yunus
(C) Genuine saving	(III) P. Diamond
(D) Micro finance	(IV) J. Tobin

Choose the correct answer from the options given below:

- (1) (A)-(IV), (B)-(I), (C)-(III), (D)-(II)
- (2) (A)-(III), (B)-(IV), (C)-(I), (D)-(II)
- (3) (A)-(III), (B)-(II), (C)-(IV), (D)-(I)
- (4) (A)-(II), (B)-(IV), (C)-(I), (D)-(III)

UGC NET December 2024**Q121.** Arrange the following theories in correct chronological order (starting from the earliest).

[December 2024 · Q.68]

- (A) Cambridge version of quantity theory of money
- (B) Baumol's theory of demand for money
- (C) Fisher's version of quantity theory of money
- (D) Tobin's theory of demand for money

Choose the correct answer from the options given below:

- (1) C, A, D, B
- (2) A, C, B, D
- (3) C, A, B, D
- (4) B, C, D, A

Q122. Consequences of hoarding of money by individual are: [December 2024 · Q.73]

- (A) Loss of utility by not purchasing goods and services.
- (B) Foregone interest by not saving.
- (C) Fall of real value of money by deflation.
- (D) Loss of return by not purchasing other assets

Choose the correct answer from the options given below:

- (1) A, B, C Only
- (2) A, B, D Only
- (3) B, C, D Only
- (4) A, B Only

Q123. Arrange the following based on their date of establishment, from earlier to latest: [December 2024 · Q.82]

- (A) IDBI - Industrial Development Bank of India
- (B) IFCI - Industrial Finance Corporation of India
- (C) ICICI - Industrial Credit and Investment Corporation of India
- (D) IRBI - Industrial Reconstruction Bank of India

Choose the correct answer from the options given below:

- (1) B, C, D, A
- (2) D, B, C, A
- (3) B, C, A, D
- (4) A, B, D, C

Q124. A Central Bank can increase money supply in an economy: [December 2024 · Q.131]

- (A) By raising the Cash Reserve Ratio
- (B) By purchasing government securities from the public
- (C) By lowering the Cash Reserve Ratio
- (D) By lowering the Repo rate

Choose the correct answer from the options given below:

- (1) A, B, C Only
- (2) A, B, D Only
- (3) B, C, D Only
- (4) A, C, D Only

UGC NET June 2025 (29 June 2025, Shift 2)

Q125. In which of the following year, the mandate/preamble of RBI has been amended? [June 2025 S2 · Q.82]

- (1) 2019
- (2) 2024
- (3) 2016
- (4) 2007

Q126. Which of the following is the operating target of monetary policy conducted by RBI? [June 2025 S2 · Q.90]

- (1) Repo rate
- (2) Reverse Repo rate
- (3) Weighted Average Call Money rate
- (4) Marginal Standing Facility rate

Q127. Arrange the following derivative markets in India in chronological order (starting from oldest to latest). [June 2025 S2 · Q.96]

- (A) Commencement of trading in options on individual securities
- (B) Introduction of interest rate futures
- (C) Commencement of trading in Stock Futures
- (D) Introduction of Futures trading based on the Index
- (E) Commencement of trading in Index options

Choose the correct answer from the options given below:

- (1) D, C, E, A, B
- (2) D, E, A, C, B
- (3) D, A, E, B, C
- (4) D, C, E, B, A

Q128. Arrange the following rates in ascending order, as decided in 54th meeting of monetary policy committee of RBI. [June 2025 S2 · Q.98]

- (A) Marginal Standing Facility Rate
- (B) Standing Deposit Facility Rate
- (C) CRR
- (D) Reverse Repo Rate
- (E) Repo Rate

Choose the correct answer from the options given below:

- (1) C, D, A, B, E
- (2) B, C, D, A, E
- (3) D, C, B, E, A
- (4) C, D, E, B, A

Q129. Arrange the following countries based on the market capitalization to nominal GDP ratio at the end of December 2024 in ascending order (as per the Economic Survey 2024-25). [June 2025 S2 · Q.102]

- (A) U.K.
- (B) India
- (C) China
- (D) Brazil
- (E) Japan

Choose the correct answer from the options given below:

- (1) B, A, C, E, D
- (2) C, D, B, A, E
- (3) D, C, A, B, E
- (4) A, B, D, C, E

Q130. Match List - I with List - II [June 2025 S2 · Q.136]

List - I	List - II
List-I (Monetary policy regime)	List-II (Periods)
(A) Fiscal dominance	(I) 2016 onwards
(B) Multiple indicator approach	(II) 1951-1985
(C) Monetary targeting with feedbacks	(III) 1998-2016
(D) Flexible inflation targeting	(IV) 1985-1998

Choose the correct answer from the options given below:

- (1) A-III, B-IV, C-II, D-I
- (2) A-II, B-III, C-IV, D-I
- (3) A-II, B-I, C-IV, D-III
- (4) A-IV, B-III, C-I, D-II

Passage / data for Q.146-150 (June 2025 S2)

Read the following paragraph and answer the questions:

The RBI's current monetary policy reflects a nuanced response to evolving macroeconomic dynamics. While the repo rate remains unchanged at 6.5%, the policy undertone reveals a calibrated withdrawal of accommodation, signaling a shift from pandemic era stimulus. The RBI's liquidity management has transitioned from passive surplus absorption to active fine tuning using variable rate reverse repo (VRRR) operations, amid concerns of global spillovers and domestic inflationary pressures. The policy indicates a forward looking stance, focusing on anchoring inflation expectations rather than reacting to transient price shocks. The monetary transmission remains uneven, with sectoral divergences in credit uptake and lending rates. Furthermore the policy indirectly emphasizes macro prudential regulation and financial stability, acknowledging risks from global interest rate differentials, capital flows and currency volatility. This reflects an integrated policy framework balancing inflation targeting with broader financial resilience in a globally uncertain environment.

Q131. Which of the following reflects the RBI's strategy in managing transient inflation shocks?

[June 2025 S2 · Q.146]

- (1) Immediate rate hike
- (2) Maintaining status quo with calibrated liquidity tools
- (3) Aggressive tightening
- (4) Reducing CRR

Q132. The term withdrawal accommodation in monetary policy implies. [June 2025 S2 · Q.147]

- (1) Increase in CRR
- (2) Active bond purchase
- (3) Gradual normalization of policy stance
- (4) Expansionary fiscal stimulus

Q133. VRRR operations indicate. [June 2025 S2 · Q.148]

- (1) Long term capital infusion
- (2) Structural adjustment of fiscal deficit
- (3) Active short term liquidity absorption
- (4) Decrease in SLR

Q134. Which concept is implicit in RBI's focus on anchoring inflation without immediate rate action? [June 2025 S2 · Q.149]

- (1) Passive targeting
- (2) Expectation management
- (3) Credit rationing
- (4) Monetary expansion

Q135. The RBI's consideration of global interest rate differentials primarily relates to. [June 2025 S2 · Q.150]

- (1) Domestic food inflation
- (2) Foreign portfolio flows and exchange rate management
- (3) Retail credit growth
- (4) Agricultural policy

UGC NET December 2025 (Exam held 31 Dec 2025 - 7 Jan 2026)

Q136. Which of the following approach has included Time Deposit with commercial banks in the definition of Money Supply? [December 2025 · Q.51]

- (1) The Conventional Approach
- (2) The Chicago Approach
- (3) The Fed Approach
- (4) The Walters Approach

Q137. In which year, the notes of ₹ 1000 denomination were demonetised for the first time in India? [December 2025 · Q.55]

- (1) 2016
- (2) 1978
- (3) 1969
- (4) 1980

Q138. Recently, Inflation rates have trended downward and approaching steadily Central Bank target levels. In this context, which of the following are correct? [December 2025 · Q.67]

- (A) Supply chains are adopting the economic uncertainties
- (B) Easing monetary policy
- (C) Tighter monetary policy
- (D) Increase in AD is more than increase in AS

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and D only
- (3) A and C only
- (4) C and D only

Q139. (A) In a barter system, if there are 3 goods to be exchanged, the required number of prices will be 3. [December 2025 · Q.71]

- (B) Money does not play its functions in case of inflation.
- (C) Double coincidence of wants is not a problem in barter system.
- (D) Paper currencies are token money.

Choose the correct answer from the options given below:

- (1) A, B and D Only
- (2) B and D Only
- (3) A and D Only
- (4) B, C and D Only

Q140. (A) Reserve Money = C + OD + CR [December 2025 · Q.77]

(B) $M1 = C + OD$

(C) Money Multiplier (m) = M/RM

(D) Narrow Money Supply = M3

Here C = Currency, OD = Other deposits with RBI, CR = Cash Reserve of Banks, M = Money Supply, RM = Reserve Money

Choose the correct answer from the options given below:

(1) A and D Only

(2) B and C Only

(3) A and B Only

(4) A and C Only

Q141. (A) SEBI - Advisory body [December 2025 · Q.104]

(B) GST Council - Statutory body

(C) NITI Aayog - Advisory body

(D) RBI - Statutory body

Choose the correct answer from the options given below:

(1) A and B

(2) A and C

(3) B and D

(4) C and D

Q142. Which of the following is not a function of the Securities and Exchange Board of India (SEBI)? [December 2025 · Q.111]

(1) Prohibiting insider trading in securities

(2) Promoting and regulating self-regulatory organisations

(3) Underwriting new capital issues

(4) Regulating portfolio managers

Q143. Among the following types of treasury bills, identify the correct one. [December 2025 · Q.113]

(A) Adjusted price auction

(B) Uniform price auction

(C) Multiple price auction

(D) Readjusted price auction

Choose the correct answer from the options given below:

(1) A and B only

(2) B and C only

(3) C and D only

(4) A and D only

Q144. Etymologically, the term 'money' is derived from which language? [December 2025 · Q.135]

(1) Greek

(2) Latin

(3) Persian

(4) Sanskrit

Q145. Match List - I with List - II. [December 2025 · Q.136]

List - I	List - II
(A) Narasimham Committee - I	(I) Tax Reform
(B) Narasimham Committee - II	(II) Banking Sector Reform
(C) Chelliah Committee	(III) Financial Sector Reform
(D) C. Rangarajan Committee	(IV) Poverty Estimation Committee

Choose the correct answer from the options given below:

- (1) A-IV, B-II, C-I, D-III
- (2) A-III, B-II, C-I, D-IV
- (3) A-II, B-III, C-IV, D-I
- (4) A-I, B-III, C-IV, D-III